Question 7

Answer A is correct. Compliance costs are important, because they establish a baseline cost profile for the vehicle in question.

Answer B is correct. The allocation of profits between participants is commercially essential: profits in a partnership arise directly to the partners, whereas profits arise to shareholders only if and when dividends are declared.

Answer C is correct. Withholding tax rates establish the essential fiscal profile of the investment vehicle, and are therefore of fundamental importance.

Answer D is correct. Corporation tax rates establish the essential fiscal profile of the investment vehicle, and are therefore of fundamental importance.

Question 8

Answer A. The acquisition of trading stock is a revenue expenditure incurred in the production of taxable profits. It is accordingly deductible. Employee salaries are likewise a recurring, revenue expenditure incurred in the production of taxable profits, and are therefore deductible. The same argument would apply to electricity costs.

Answer B. Costs of improvements are expressly barred from being deductible in s.17(1), though one could query whether this could be regarded as a refurbishment rather than an improvement. The purchase of an intellectual property right may be deductible, notwithstanding that it is a capital expenditure, under s.16EA.

Question 9

A. Assuming Percival is a new business, the basis period and assessable profits are:

Year of Assessment	Basis Period	Assessable Profits
2019/20	1 August 2018 – 31 December 2019 (17 months)	HK$138,000[a]
2018/19	Year ended 31 July 2018	HK$36,000[b]

[a]Calculation: HK$90,000 + HK$48,000 = HK$138,000
[b]No profits have dropped out of assessment, so they year of the change (2018/19) would probably not be recomputed.

B. Assuming Percival is an old business, the basis period and assessable profits are:

Year of Assessment	Basis Period	Assessable Profits
2019/20	1 January ~~2018~~ – 31 December 2019 (12 months) 2019	~~HK$93,000~~[a] HK$100,500
2018/19	If it follows the original assessment, year ended 31 July ~~2019~~ 2018	HK$36,000
	If it is recomputed with the new accounting date, 1 January ~~2017~~ – 31 December 2018	~~HK$108,000~~[b] HK$58,500

[a]Calculation: HK$90,000 × ~~6/12~~ 7/12 + HK$48,000 = ~~HK$93,000~~ 2018 HK$100,500

[b]Five months' of profits have dropped out of assessment, so the IRD would probably recomputed the assessable profts for 2018/19 (the year preceding the change). Profits for the period 1 August ~~2017~~ 2018 – 31 December ~~2017~~ 2018 would drop out of assessment. Calculation: ~~HK$36,000 × 6/12 + HK$90,000 = HK$108,000~~

HK$36,000 x 7/12 + HK$90,000 x 5/12 = HK$58,500

Referring to page 6 of the IRD pamphlet *A guide to Salaries Tax for people coming to work in Hong Kong, HK or non-HK office, HK or non-HK employment, the days-in-days-out basis of assessment*, the IRD has indicated that the day of arrival together with the day of departure would be counted as one day (also known as the '**midnight rule**') for the purpose of computing the days in Hong Kong during a YA. This is unlike the calculation of days under the 60-day exemption rule where part of a day is counted as one day.

The IRD has indicated in paragraph 29 of DIPN 10 (Revised) that it would apply a different approach if the time apportionment basis proved to be inappropriate. Note that the IRD referred to 'exceptional circumstances' and a circumstance where the employee 'can establish' that the rate of remuneration for the services rendered outside Hong Kong was substantially greater than the rate he received in Hong Kong. The onus of proof lies with the taxpayer and in the absence of documentary evidence supporting a different basis of allocation, the IRD will apply the 'time-in-time-out' basis of apportionment.

When the income derived from Hong Kong services is clearly identifiable (e.g. clearly specified in the contract of employment), the time apportionment basis rule will not apply. The BOR supports this view in IRBRD D106/89. Here, the BOR has held that the time-in-time-out apportionment basis is a rough and ready method of assessing income chargeable to tax where payment for services rendered in Hong Kong cannot be readily ascertained. When the derivation of an item of income is clearly identifiable, there is no room for the application of the time-in time-out formula.

In *CIR v Lo Wa Ming Patrick* [2022] HKCA 710, the Court of Appeal held that the 'time-in-time-out-basis' may in certain circumstances produce arbitrary or counter-intuitive results. Instead of a generally applicable rule, it would be prudent to treat this as a 'rebuttable presumption', which may not apply in all cases.

Illustrative Example 5 – Time Apportionment Rule

Let's expand Adrian's case by assuming that he had visited the GBank Hong Kong Branch quite a few times during YA 2018/19 before the short-term assignment as mentioned in Apply and Analyse 1. His travel schedules for YA 2018/19 are shown below:

Arrival date	Departure date	Days in HK
1/4/2018	3/4/2018	2
6/5/2018	14/5/2018	8
7/6/2018	16/6/2018	9
3/8/2018	12/8/2018	9
10/9/2018	18/9/2018	8
30/9/2018	15/10/2018	15
1/11/2018	17/11/2018	16
21/11/2018	29/11/2018	8
~~5/2/2019~~	7/2/2019	54
15/12/2018		129
Leave days attributable to[a]		11.55
Days chargeable to salaries tax		140.55

Illustrative Example 5 – Time Apportionment Rule *(continued)*

We assume that Adrian's annual remuneration for YA 2018/19 of HK$1,550,000 was based on the buying exchange rates published by the IRD. We also assume that he had visited the GBank Hong Kong Branch quite a few times during YA 2018/19 before the short-term assignment mentioned in Apply and Analyse 1. As a result, his total number of days visiting Hong Kong during YA 2018/19 had exceeded 60 days. During the same YA, he took his 30 days leave entitlement outside Hong Kong.

[a] Leave days attributable to Hong Kong:

11.55 days

$$\frac{\text{Business days in HK}(129)}{\text{Total business days}(335)} \times \text{Leave days}(30) = \cancel{1.55}\,\text{days}$$

Adrian's income attributable to Hong Kong under the time-in-time-out basis for salaries tax purposes is computed as follows:

$$\frac{\text{Days in Hong Kong}(140.55)}{\text{Total number of days in the YA}(365)} \times \text{Annual income}(\text{HK\$1,550,000}) = \text{HK\$596,750}$$

Key Learning Point

Time basis assessment applies only in the case of a non-Hong Kong employment income earned by an employee from services rendered in Hong Kong when the payment for services cannot be readily ascertained.

▶ Knowledge Check Questions

Question 5

Identify which of the following are subject to the time-in-time-out basis of apportionment for ascertaining the salaries tax liability in Hong Kong.

(I) Gary Fisher is an Argyle diamond specialist. He has a contract of employment with a UK company as a Senior Fancy Diamond Advisor. In addition, Gary travels to Hong Kong every month for a week (seven days) to provide services to the Hong Kong office of the UK company.

(II) Sally works as Regional Finance Manager for an IT company in Hong Kong. Every month, she travels to China, Macau and Taiwan for work.

(III) Mr. Wong is employed by the Hong Kong subsidiary of a US multinational company as the Tax Director for North Asia. He is also required to cover South Asia and Oceania and has a separate contract of employment with the Singapore subsidiary of the same US multinational company.